

Date of Hearing: June 26, 2012

ASSEMBLY COMMITTEE ON JUDICIARY

Mike Feuer, Chair

SB 890 (Leno) – As Amended: June 18, 2012

As Proposed to Be Amended

SENATE VOTE: 22-14

SUBJECT: FAIR DEBT BUYERS PRACTICES ACT

KEY ISSUE: SHOULD DEBT BUYERS BE REQUIRED TO SUBSTANTIATE CERTAIN BASIC INFORMATION ABOUT AN ALLEGED DEBT TO PROVE THAT A CONSUMER ACTUALLY OWES THE DEBT BEFORE THE DEBT BUYER CAN FILE A LAWSUIT OR OTHERWISE TAKE ACTION TO COLLECT THE DEBT?

FISCAL EFFECT: As currently in print this bill is keyed non-fiscal.

SYNOPSIS

According to proponents, California's courts are swamped with debt collection lawsuits at a time when our judicial system is facing unprecedented budget challenges, and debt buyers-- companies that purchase delinquent or charged-off debts from a creditor for a certain fraction of the face value of the debt--are largely driving this crisis by filing thousands of lawsuits against consumers each month to collect their purchased debts. Proponents further contend that many of these lawsuits are simply unsubstantiated by facts necessary to determine, among other things, that the debt buyer actually owns the debt at issue, that the defendant is the person who owes the debt, or that the debt is not time-barred.

This important bill, sponsored by the Attorney General, seeks to enact the Fair Debt Buyer Practices Act. As proposed to be amended, this bill, among other things: (1) prohibits written statements to collect consumer debt unless the debt buyer has sufficient information to justify his collection efforts; (2) clarifies the allegations required in a lawsuit filed by a debt buyer and the evidence required of a debt buyer to obtain a judgment in a collection suit; (3) prohibits collection suits where the statute of limitations has already run; and (4) provides a private right of action against a debt buyer who violates any provision of this act. By requiring greater documentation and substantiation of debt claims as a condition of filing a collection lawsuit, this bill may help conserve judicial resources that might otherwise be spent processing large numbers of unsubstantiated lawsuits.

The bill is supported by a range of consumer advocates, legal aid providers, civil rights advocates, and labor groups. As proposed to be amended, all known opposition from members of the debt buyer industry has been removed. Bankers and the Civil Justice Association of California continue to oppose the bill unless amended to narrow the definition of "debt buyer" so that banks are not regulated by the bill, in addition to other concerns. This bill is double-referred to the Assembly Banking and Finance Committee.

SUMMARY: Enacts the Fair Debt Buyers Practices Act, imposing various requirements on practices that may be used to collect on purchased consumer debt. Specifically, this bill:

- 1) Defines "debt buyer" to mean a person or entity that is regularly engaged in the business of purchasing delinquent or charged-off consumer loans, consumer credit accounts, or other delinquent consumer debt for collection purposes, whether it collects the debt itself, hires a third party for collection, or hires an attorney-at-law for collection litigation.
- 2) Prohibits a debt buyer from making any written statement in an attempt to collect a consumer debt unless the debt buyer possesses certain information, including, among other things: (a) the debt balance; (b) the name and address of the debt buyer and all persons or entities that purchased the debt after charge off; and (c) a statement that the buyer is the sole owner of the debt or has authority to assert the rights of all owners of the debt.
- 3) Prohibits a debt buyer from making any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer has access to a copy of a contract or other document evidencing the debtor's agreement to the debt, or if no signed contract exists, demonstrating that the debt was incurred by the debtor.
- 4) Requires a debt buyer to provide all of the above information or documents to the debtor without charge within 15 calendar days of receipt of a debtor's written request for information regarding the debt or proof of the debt, or to cease all collection of the debt until the debt buyer provides the information or documents to the debtor.
- 5) Requires the debt buyer to provide a specified written notice with its initial written communication to the debtor that, among other things, informs the debtor of his or her right to request records from the debt buyer showing information that the debt buyer is required to possess as a condition of collecting on the debt.
- 6) Prohibits a debt buyer from bringing suit, initiating another proceeding, or taking any other action to collect a consumer debt if the applicable statute of limitations on the cause of action has expired.
- 7) Requires specific information regarding the underlying debt, the debt buyer, the debtor, and charge-off creditors to be so stated in any action brought by a debt buyer on a consumer debt.
- 8) Provides that in an action initiated by a debt buyer, no default or other judgment may be entered against a debtor unless the following authenticated documents have been submitted by the debt buyer to the court:
 - a) Business records establishing facts about the debt, debtor, and charge-off creditors that are required by this act to be alleged in the complaint; and
 - b) A copy of a contract or other document evidencing the debtor's agreement to the debt, or if no signed contract exists, demonstrating that the debt was incurred by the debtor.
- 9) Provides that a debt buyer who violates any provision of this act with respect to any person is liable to the person in an amount equal to the sum of the following: (a) actual damages sustained as a result of the violation; (b) statutory damages, as specified for an individual or

class action; and (3) costs of the action and reasonable attorney's fees.

- 10) Relieves a debt buyer from any liability under this act if the debt buyer shows by a preponderance of the evidence that the violation was not intentional and resulted from a bona fide error notwithstanding the maintenance of procedures reasonably designed to avoid any such error.
- 11) Provides that these requirements shall only apply to debt buyers with respect to all debt sold or resold on or after July 1, 2013.
- 12) Requires a claim of exemption and related financial statement form to be provided to a judgment debtor by the levying officer whenever a writ of execution or an earnings withholding order is served upon the judgment debtor or the debtor's employer, as specified.

EXISTING LAW:

- 1) Pursuant to federal law, generally regulates the collection of debt through, among other things, the Fair Debt Collection Practices Act; Fair Credit Reporting Act; and the Gramm-Leach-Bliley Act.
- 2) Pursuant to the Rosenthal Fair Debt Collection Practices Act, generally prohibits deceptive, dishonest, unfair and unreasonable debt collection practices by debt collectors, and regulates the form and content of communications by debt collectors to debtors and others. (Title 1.6C of Part 4 of Division 3 of the Civil Code, commencing with Section 1788.)

COMMENTS: This bill, sponsored by the Attorney General, seeks to enact the Fair Debt Buyer Practices Act, a comprehensive approach to address problems that, according to the author, are largely traceable to the inadequacy of documentation maintained by the debt buying industry to support its debt collection activities and litigation. According to the author:

There have been widespread accounts of debt buyer collection efforts, including collection litigation, against the wrong person, or targeting debt that is time-barred or has already been paid. Collection efforts become increasingly misdirected as consumer debt is repeatedly sold and resold without reliable documentation evidencing its origin. The more remote the debt buyer is from the original creditor, the more likely it is that collection efforts will target stale debt or the wrong person. This bill establishes a number of reforms to ensure that the documentation used to support the collection of purchased debt is sufficient. This will help ensure that collection efforts target the correct individuals, avoid litigation over time-barred debt, and that the amount of the debt is calculated accurately.

In addition to protecting consumers, this bill will help relieve the overwhelming burden placed on our courts by thousands of debt collection lawsuits, many of them unsubstantiated.

According to proponents, California's courts are swamped with debt collection lawsuits at a time that could not be worse given recent court closures and the fiscal crisis facing our judicial system. A recent New York Times article reported that collection lawsuits across California have increased by 20% over the past five years, with an estimated 96,000 consumer debt collection cases filed in three Bay Area counties in 2009 alone, up from 53,700 cases in 2007. ("Some Lawyers Want to Keep Debt Collection Out of the Courts," NY Times, 4/22/2010.) Proponents contend that many of these lawsuits are simply unsubstantiated by facts necessary to

determine, among other things, that the plaintiff owns the debt at issue, that the defendant is the person who truly owes the debt, or that the debt is not time-barred. They note that the cost of unsubstantiated debt litigation falls upon courts that must expend resources processing collection claims, and taxpayers who subsidize the time and resources spent by the courts. By requiring greater documentation and substantiation of debt claims as a condition of filing collection lawsuits, this bill could potentially reduce the amount of debt buyer litigation by weeding out "meritless" suits before they are filed. Supporters of the bill contend that anecdotal evidence indicates this is exactly what has happened in North Carolina since passage of a law there similar to this bill.

As proposed to be amended, this bill prohibits written statements to collect consumer debt unless the debt buyer has sufficient information to justify collection efforts. According to the author, many consumers report being the subject of collection lawsuits where there is insufficient evidence of the consumer's underlying indebtedness, or where not enough information is provided to the consumer regarding the debt at issue to allow an appropriate answer to the complaint. A recent report by Consumers Union and East Bay Community Law Center (EBCLC) found that debt buyers frequently buy portfolios of individual consumer debts with inadequate information, and frequently sue without any proof that they own the debts or that the consumer owes them money. (Past Due: Why Debt Collection Practices and the Debt Buying Industry Need Reform Now, Consumers Union, January 2011.)

As proposed to be amended, this bill prohibits a debt buyer from contacting a debtor unless the debt buyer has access to a copy of a contract or other document evidencing the debtor's agreement to the debt or responsibility for incurring the debt, as well as other specific factual information establishing the buyer's right to collect. This essential factual information includes, among other things, the debt balance, the date of default or last payment, and the names and addresses of the charge-off creditor, debt buyer, and debtor as they appear in the records of the debt. The bill also requires the debt buyer to provide the information or documents to the debtor without charge within 15 days upon request of the debtor, and to include a specified notice informing the debtor of this right. When considered in whole, these requirements appear to ensure that the consumer will at least have basic information about the debt in question that is necessary to determine a next step, including filing an answer if a complaint has been served.

As proposed to be amended, this bill clarifies requirements for collection suits filed by debt buyers. In 2011, the Federal Trade Commission (FTC) issued an extensive report in which it found that complaints filed by debt collectors to initiate collection actions against debtors do not provide sufficient information to the defendant-debtor or the court about the underlying debt or the collector's right to collect. The FTC's report explained that "the function of debt collection complaints in a notice pleading system is to provide sufficient information so that: (1) consumers can determine whether to admit or deny the complaint allegations and assert affirmative defenses in their answers; and (2) judges can determine whether to grant a motion for a more definite statement or enter a default judgment." (FTC, "Repairing A Broken System: Protecting Consumers in Debt Collection Litigation and Arbitration", July 2010.)

As proposed to be amended, this bill seeks to address this problem by clarifying the allegations required in a lawsuit filed by a debt buyer, as well as the evidence required of a debt buyer to obtain a judgment in a collection suit. First, the bill requires the complaint in any collection suit to allege, among other things, the nature of the underlying debt and the consumer transactions from which it is derived, and that the debt buyer is the sole owner of the debt at issue or has the

right to collect the debt. The complaint shall also allege the same specific factual information about the debt that the debt buyer is required to possess in order to initiate written contact with the debtor, as discussed above. According to the author, many of the complaints filed by some debt buyers are form complaints containing little information useful to the person being sued. This bill helps ensure that the complaint provides essential information about the underlying debt at issue to not only the consumer being sued, but the court itself, which needs reliable information if it is to enter a judgment for either party.

According to the FTC, about 95% of collection lawsuits end in default judgments, which the author contends is the business model for some debt buyers who file thousands of collection lawsuits each year. The FTC's report noted concern about the number of default judgments, and recommended that states take steps to "increase consumer participation in debt collection litigation to help decrease the prevalence of default judgments." As proposed to be amended, this bill would prohibit entry of a default or other judgment against the debtor unless the debt buyer submits to the court: (1) authenticated business records establishing the factual information about the debt that the debt buyer is required to possess and allege in the complaint; and (2) a copy of a contract or other document evidencing the debtor's agreement to the debt, or responsibility for incurring the debt. In addition, if a debt buyer seeks a default judgment but has not complied with the requirements of this bill, the bill would prohibit the court from entering a default judgment for the debt buyer and allow the court, in its discretion, to dismiss the action. This provides a strong incentive for the debt buyer to provide all required information to the court prior to pursuing a default judgment.

As a practical matter, it is expected that many consumers would not be able to find an attorney to represent them in collection matters, or cannot afford attorney fees. Proponents contend, quite reasonably, that in collection suits where the debt buyer cannot provide adequate information to prove that the consumer actually owes the debt alleged, the consumer should not have a default judgment entered against him simply because he is unsophisticated or could not afford legal representation. This bill seeks to end that basic unfairness in collection cases where the debt buyer does not substantiate or support his claim with adequate information.

This bill prohibits collection suits where the statute of limitations has already run. The FTC's report also expressed concern that certain collectors "regularly sue consumers on time-barred debts." This practice is likely to continue as long as many consumers do not defend suits against them, even when the action would be barred by the statute of limitations, because they do not know or realize that this is the case. According to the FTC, "Because an expired statute of limitations is an affirmative defense in most states, collectors have no obligation to allege in the complaint that the debt is not time-barred, and many collectors do not include this information. If consumers do not defend, there is no one to raise the defense that the debt is time-barred . . . Even if a debt collection action appears to be time-barred, it would be improper for courts to consider affirmative defenses that no party had raised. As a result, some courts appear to be granting default judgments on time-barred debt." (FTC Report, July 2010.)

To address this concern, this bill expressly prohibits a debt buyer from bringing suit or initiating arbitration or any other legal proceeding to collect a consumer debt if the applicable statute of limitations on the debt buyer's claim has expired. This common-sense restriction helps protect consumers from litigation on debts they have no legal obligation to pay, which as EBCLC notes, may include debts resulting from identity theft, mistake, and debts already paid, in addition to debts barred by statutes of limitations.

Private right of action against a debt buyer for violations of this act. This bill provides a private right of action against a debt buyer who violates any provision of this act. Under this bill, a debt buyer is liable to the person bringing the action in an amount equal to the sum of the following: (a) actual damages sustained as a result of the violation; (b) statutory damages, as specified for an individual or class action; and (3) costs of the action and reasonable attorney's fees.

However, a debt buyer is relieved from any liability under this bill if he shows by a preponderance of the evidence that the violation was not intentional and resulted from a bona fide error, and occurred notwithstanding the maintenance of procedures reasonably designed to avoid any such error. These provisions appear similar to the private right of action under the Rosenthal Fair Debt Collection Practices Act (Civil Code Section 1788 *et seq.*) It should be noted that even with this private right of action, there is no known opposition from the debt buyer industry to this bill as proposed to be amended.

ARGUMENTS IN OPPOSITION: The California Bankers Association (CBA) opposes this bill unless amended to: (1) more narrowly apply the definition of debt buyer; (2) exempt depository institutions; and (3) more appropriately define the date of default. CBA contends that the date of default is so broad that it can apply to a bank that acquires another bank or purchases a portfolio of consumer credit that has past due accounts, thus possibly bringing the bank under the reach of the bill and creating problems for banking acquisitions and other account purchases. CBA also contends that banks should be exempt from the bill because "banks are creditors and not debt buyers that necessitate regulation under this bill."

The Civil Justice Association of California (CJAC) also opposes the bill unless amended to narrow the definition of debt buyer, citing similar reasons as CBA.

REGISTERED SUPPORT / OPPOSITION:

Support

Attorney General Kamala Harris (sponsor)
Alexander Community Law Center
American Federation of State, County and Municipal Employees
California Consumer Affairs Association
California Labor Federation
California Public Interest Research Group
California Reinvestment Coalition
Consumer Federation of California
Consumers Union
East Bay Community Law Center
Housing and Economic Rights Advocates
Lawyers' Committee for Civil Rights of the San Francisco Bay Area
Mexican American Legal Defense and Educational Fund
Professor Scott Maurer, Santa Clara University School of Law
Public Counsel
Public Law Center
Service Employees International Union
Several individuals

Opposition (unless further amended)

California Bankers Association (CBA)
Civil Justice Association of California (CJAC)

Analysis Prepared by: Anthony Lew / JUD. / (916) 319-2334